NOMURA

Global Markets Research

29 July 2026

Sungrow Power Supply 300274.SZ 300274 CH

EQUITY: TECHNOLOGY

Rating Remains	**Neutral**
Target price Remains	**CNY 120.00**
Closing price 29 July 2026	**CNY 106.55**
Implied upside	**+12.6%**
Market Cap (USD mn)	32,631.8
ADT (USD mn)	1,629.4

FCC covered list likely caps US growth

Grandfathering cushions 2026F, but frozen model pipeline erodes competitiveness into 2027F and beyond

FCC adds foreign-produced inverters to Covered List, effective immediately

The FCC (Federal Communications Commission) Public Safety and Homeland Security Bureau released *Public Notice DA 26-786* on 28 July 2026, adding foreign-produced power inverters to the Covered List. The determination defines a power inverter on "two limbs": i) a bi-directional DC/AC conversion device, explicitly including micro-inverters, string, central and hybrid battery-based inverters; and ii) contains components enabling remote communication, control, sensing, data collection or monitoring via Wi-Fi, cellular or Bluetooth. In our view, the product portfolio of Sungrow likely falls within the defined scope, and the explicit naming of hybrid battery-based inverters likely brings storage PCS (power conversion system) into the perimeter. Critically, "foreign-produced" is defined by reference to 48 CFR §25.101(a), the Buy American "domestic end product" test, rather than country-of-origin rules; hence, third-country capacity therefore does not qualify.

Frozen model pipeline near term; SST and margins worth monitoring long term

In the near term, the closure of the new-model certification pathway is one binding constraint, which we expect to erode product competitiveness as the range of inverters ages. In addition, we also see impairment risk to overseas capacity built on a third-country strategy, since such capacity does not satisfy the "Buy America" test and Conditional Approval outcomes remain uncertain. In the long term, we flag classification risk around the EnerNeo SST (solid-state transformer). It is, in our view, an AC-to-DC conversion device that would satisfy both definitional limbs (we also expect the US certification plus grid-interconnection testing to likely extend availability to mid-2028F), would weaken the second-growth-driver narrative. Further, Sungrow's hardware re-sourcing toward non-China components and software and data localization, including US-hosted cloud and source-code audits, should raise costs/expenses, while a stripped-down no-connectivity product variant would impair products competitiveness.

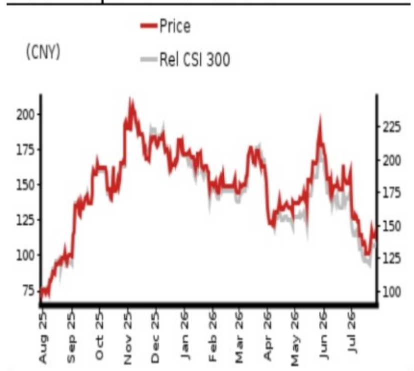
Maintain Neutral and TP of CNY120; trim 2027/28F EPS

We reiterate our Neutral rating for Sungrow with an unchanged TP of CNY120 to reflect near-term certification and long-term structural margin compression risks. We revise down our 2027/28F EPS to CNY8.78/10.41 from CNY9.13/11.20. Our TP is based on 14x 2027F P/E (previously 16x 2026F P/E), at -0.2x SD of its historical P/E. The stock currently trades at 12x 2027F P/E.

Year-end 31 Dec	FY25	FY26F		FY27F		FY28F	
Currency (CNY)	Actual	Old	New	Old	New	Old	New
Revenue (mn)	89,184	106,417	103,136	128,480	125,455	156,765	152,317
Reported net profit (mn)	13,461	15,083	15,030	18,924	18,201	23,222	21,572
Normalised net profit (mn)	13,461	15,083	15,030	18,924	18,201	23,222	21,572
FD normalised EPS	6.49	7.28	7.25	9.13	8.78	11.20	10.41
FD norm. EPS growth (%)	22.0	12.0	11.7	25.5	21.1	22.7	18.5
FD normalised P/E (x)	16.4	–	14.7	–	12.1	–	10.2
EV/EBITDA (x)	11.1	–	9.5	–	7.2	–	5.4
Price/book (x)	4.4	–	3.4	–	2.6	–	2.0
Dividend yield (%)	1.5	–	1.7	–	2.1	–	2.4
ROE (%)	29.9	26.1	26.1	25.1	24.2	23.6	22.4
Net debt/equity (%)	net cash	net cash	net cash	net cash	net cash	net cash	net cash

Source: Company data, Nomura estimates

Relative performance chart



Source: LSEG, Nomura

Research Analysts

Advanced Manufacturing

Frank Fan - NIHK
frank.fan@nomura.com
+852 2252 2195

Donnie Teng - NIHK
donnie.teng@nomura.com
+852 2252 1439

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Key data on Sungrow Power Supply

Performance

(%)	1M	3M	12M		
Absolute (CNY)	-31.5	-22.8	41.2	M cap (USDmn)	32,631.8
Absolute (USD)	-31.3	-22.1	49.7	Free float (%)	61.0
Rel to CSI 300	-24.3	-17.8	31.2	3-mth ADT (USDmn)	1,629.4

Income statement (CNYmn)

Year-end 31 Dec	FY24	FY25	FY26F	FY27F	FY28F
Revenue	77,857	89,184	103,136	125,455	152,317
Cost of goods sold	-54,545	-60,795	-72,344	-88,576	-108,621
Gross profit	23,312	28,389	30,791	36,879	43,696
SG&A	-8,528	-11,230	-12,715	-15,066	-17,835
Employee share expense					
Operating profit	14,784	17,159	18,076	21,812	25,860
EBITDA	15,706	18,414	19,389	23,184	27,295
Depreciation	-783	-1,112	-1,168	-1,226	-1,288
Amortisation	-138	-143	-144	-146	-147
EBIT	14,784	17,159	18,076	21,812	25,860
Net interest expense	-290	-40	-651	-459	-560
Associates & JCEs					
Other income	-950	-859	307	187	229
Earnings before tax	13,544	16,260	17,733	21,540	25,529
Income tax	-2,280	-2,727	-2,673	-3,231	-3,829
Net profit after tax	11,264	13,533	15,060	18,309	21,700
Minority interests	-228	-72	-30	-108	-128
Other items					
Preferred dividends					
Normalised NPAT	11,036	13,461	15,030	18,201	21,572
Extraordinary items					
Reported NPAT	11,036	13,461	15,030	18,201	21,572
Dividends	-2,217	-3,367	-3,757	-4,550	-5,393
Transfer to reserves	8,820	10,095	11,272	13,651	16,179
Valuations and ratios					
Reported P/E (x)	20.0	16.4	14.7	12.1	10.2
Normalised P/E (x)	20.0	16.4	14.7	12.1	10.2
FD normalised P/E (x)	20.0	16.4	14.7	12.1	10.2
Dividend yield (%)	1.0	1.5	1.7	2.1	2.4
Price/cashflow (x)	18.3	13.1	13.4	10.1	8.5
Price/book (x)	5.5	4.4	3.4	2.6	2.0
EV/EBITDA (x)	13.4	11.1	9.5	7.2	5.4
EV/EBIT (x)	14.2	11.9	10.2	7.7	5.7
Gross margin (%)	29.9	31.8	29.9	29.4	28.7
EBITDA margin (%)	20.2	20.6	18.8	18.5	17.9
EBIT margin (%)	19.0	19.2	17.5	17.4	17.0
Net margin (%)	14.2	15.1	14.6	14.5	14.2
Effective tax rate (%)	16.8	16.8	15.1	15.0	15.0
Dividend payout (%)	20.1	25.0	25.0	25.0	25.0
ROE (%)	31.7	29.9	26.1	24.2	22.4
ROA (pretax %)	18.5	18.0	17.4	17.6	17.6
Growth (%)					
Revenue	7.8	14.5	15.6	21.6	21.4
EBITDA	18.9	17.2	5.3	19.6	17.7
Normalised EPS	-16.4	22.0	11.7	21.1	18.5
Normalised FDEPS	-16.4	22.0	11.7	21.1	18.5

Source: Company data, Nomura estimates

Cashflow statement (CNYmn)

Year-end 31 Dec	FY24	FY25	FY26F	FY27F	FY28F
EBITDA	15,706	18,414	19,389	23,184	27,295
Change in working capital	-6,009	1,473	5,655	-1,022	-2,144
Other operating cashflow	2,372	-2,969	-8,549	-321	736
Cashflow from operations	12,068	16,918	16,495	21,841	25,887
Capital expenditure	-2,786	-3,008	-3,720	-4,391	-5,331
Free cashflow	9,282	13,910	12,775	17,451	20,556
Reduction in investments	0	0	0	0	
Net acquisitions					
Dec in other LT assets	-810	-899	-738	-798	
Inc in other LT liabilities	-1,099	-689	0	0	
Adjustments	-8,067	1,646	2,242	738	798
CF after investing acts	1,215	13,647	13,429	17,451	20,556
Cash dividends	-2,217	-3,367	-3,757	-4,550	-5,393
Equity issue					
Debt issue	897	-2,713	2,280	2,280	2,280
Convertible debt issue					
Others	3,637	-4,536	6,827	1,399	2,242
CF from financial acts	2,317	-10,616	5,350	-871	-871
Net cashflow	3,532	3,031	18,779	16,579	19,684
Beginning cash	16,267	19,799	22,831	41,610	58,189
Ending cash	19,799	22,831	41,610	58,189	77,874
Ending net debt	-10,722	-17,343	-36,248	-52,828	-72,512

Balance sheet (CNYmn)

As at 31 Dec	FY24	FY25	FY26F	FY27F	FY28F
Cash & equivalents	19,799	22,831	41,610	58,189	77,874
Marketable securities					
Accounts receivable	28,486	24,733	34,468	42,517	52,269
Inventories	29,028	27,255	36,918	48,585	59,988
Other current assets	17,836	20,609	16,038	17,360	18,791
Total current assets	95,149	95,428	129,034	166,652	208,922
LT investments					
Fixed assets	11,267	13,674	14,538	15,293	16,187
Goodwill	297	297	297	297	297
Other intangible assets	1,122	1,231	1,295	1,321	1,348
Other LT assets	7,239	8,049	8,948	9,685	10,483
Total assets	115,074	118,679	154,111	193,248	237,237
Short-term debt	4,214	2,422	2,279	2,279	2,279
Accounts payable	36,757	36,636	50,762	66,805	82,484
Other current liabilities	19,327	18,169	24,525	28,498	33,261
Total current liabilities	60,298	57,228	77,565	97,582	118,024
Long-term debt	4,863	3,065	3,083	3,083	3,083
Convertible debt					
Other LT liabilities	9,714	8,615	7,926	7,926	7,926
Total liabilities	74,875	68,908	88,574	108,591	129,033
Minority interest					
Preferred stock					
Common stock	2,073	2,073	2,073	2,073	2,073
Retained earnings	28,346	37,640	52,670	70,871	92,444
Proposed dividends					
Other equity and reserves	9,779	10,058	10,793	11,712	13,688
Total shareholders' equity	40,199	49,772	65,537	84,657	108,205
Total equity & liabilities	115,074	118,679	154,111	193,248	237,237
Liquidity (x)					
Current ratio	1.58	1.67	1.66	1.71	1.77
Interest cover	50.9	433.8	27.8	47.5	46.2
Leverage					
Net debt/EBITDA (x)	net cash	net cash	net cash	net cash	net cash
Net debt/equity (%)	net cash	net cash	net cash	net cash	net cash
Per share					
Reported EPS (CNY)	5.32	6.49	7.25	8.78	10.41
Norm EPS (CNY)	5.32	6.49	7.25	8.78	10.41
FD norm EPS (CNY)	5.32	6.49	7.25	8.78	10.41
BVPS (CNY)	19.39	24.01	31.61	40.83	52.19
DPS (CNY)	1.07	1.62	1.81	2.19	2.60
Activity (days)					
Days receivable	133.5	108.9	104.8	112.0	113.9
Days inventory	194.2	169.0	161.9	176.2	182.9
Days payable	246.0	220.3	220.5	242.2	251.5
Cash cycle	81.8	57.5	46.2	45.9	45.3

Source: Company data, Nomura estimates

Company profile

Sungrow Power Supply is a top-tier power control system and energy storage vendor in China, with major product being PV inverter, energy storage equipment, and solar EPC.

Valuation Methodology

We use P/E method to value Sungrow and our TP of CNY120 is based on 14x 2027F P/E, -0.2x SD of its historical average at 17x, which is due to declining gross margins in 2026-28F. The benchmark index is CSI300.

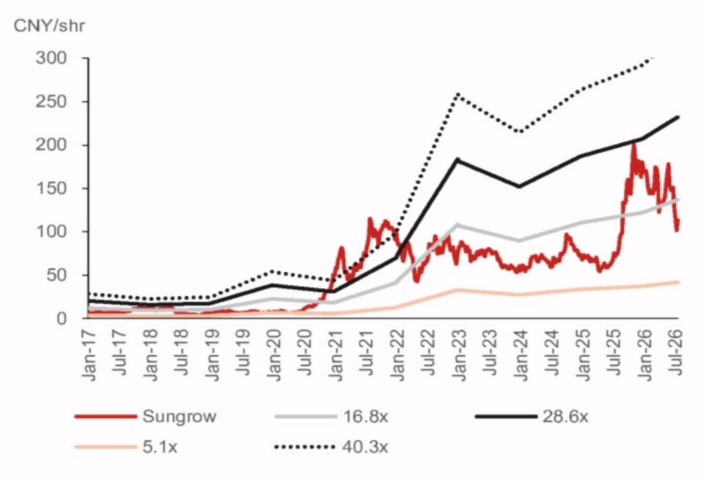
Risks that may impede the achievement of the target price

Upside risks include: 1) faster ESS development in data center clients; 2) better gross margins due to stable battery prices. Downside risks include: 1) policy headwinds for ESS business; 2) softening utility-scale project demand.

ESG

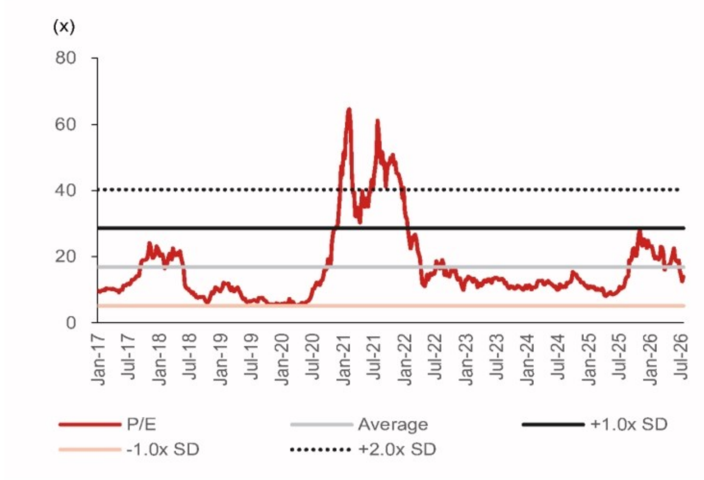
Sungrow fits the ESG theme since it is one of leading solar inverter companies, helping generate renewable energy with low consumption costs.

Fig. 1: Sungrow – forward P/E band



Source: Bloomberg Finance L.P., Nomura research

Fig. 2: Sungrow – forward P/E with -1/+2 SD



Source: Bloomberg Finance L.P., Nomura research

Appendix A-1

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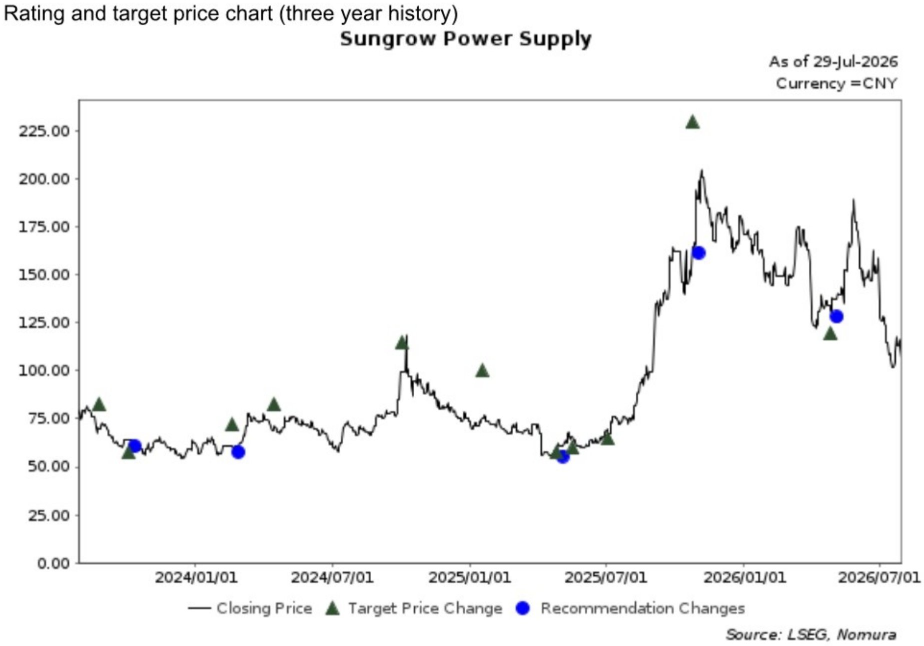
Issuer	Ticker	Price	Price date	Stock rating	Sector rating	Disclosures
Sungrow Power Supply	300274 CH	CNY 106.55	29-Jul-2026	Neutral	N/A	

Sungrow Power Supply (300274 CH) **CNY 106.55 (29-Jul-2026)** Neutral (Sector rating: N/A)

Rating and target price chart (three year history)



Date	Rating	Target price	Closing price
27-Apr-26	Neutral		131.39
27-Apr-26		120.00	131.39
24-Oct-25	Buy		165.00
24-Oct-25		230.00	165.00
04-Jul-25		65.00	67.70
18-May-25		60.00	65.31
26-Apr-25	Neutral		58.82
26-Apr-25		58.00	58.82
17-Jan-25		100.00	75.05
02-Oct-24		115.00	99.58
15-Apr-24		82.97	71.24
19-Feb-24	Buy		60.99
19-Feb-24		72.15	60.99
04-Oct-23	Neutral		63.94
04-Oct-23		57.72	63.94
25-Aug-23		82.97	70.13

For explanation of ratings refer to the stock rating keys located after chart(s)

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